

SUBMISSION COVER SHEET

IMPORTANT: Check box if Confidential Treatment is requested ☐

Registered Entity Identifier Code (optional): 25-107

Organization: Chicago Mercantile Exchange Inc. ("CME")

Filing as a: ☐ DCM ☐ SEF ☒ DCO ☐ SDR

Please note - only ONE choice allowed.

Filing Date (mm/dd/yy): 02/19/25 Filing Description: Amendments to the Credit Risk Management Assessment Methodology and the Counterparty Exposure Methodology

SPECIFY FILING TYPE

Please note only ONE choice allowed per Submission.

Organization Rules and Rule Amendments

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| ☒ | Certification | § 40.6(a) |
| ☐ | Approval | § 40.5(a) |
| ☐ | Notification | § 40.6(d) |
| ☐ | Advance Notice of SIDCO Rule Change | § 40.10(a) |
| ☐ | SIDCO Emergency Rule Change | § 40.10(h) |

Rule Numbers: See filing.

New Product

Please note only ONE product per Submission.

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|--------------------------|---------------------------------------|------------|
| ☐ | Certification | § 40.2(a) |
| ☐ | Certification Security Futures | § 41.23(a) |
| ☐ | Certification Swap Class | § 40.2(d) |
| ☐ | Approval | § 40.3(a) |
| ☐ | Approval Security Futures | § 41.23(b) |
| ☐ | Novel Derivative Product Notification | § 40.12(a) |
| ☐ | Swap Submission | § 39.5 |

Product Terms and Conditions (product related Rules and Rule Amendments)

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|--------------------------|---|----------------------|
| ☐ | Certification | § 40.6(a) |
| ☐ | Certification Made Available to Trade Determination | § 40.6(a) |
| ☐ | Certification Security Futures | § 41.24(a) |
| ☐ | Delisting (No Open Interest) | § 40.6(a) |
| ☐ | Approval | § 40.5(a) |
| ☐ | Approval Made Available to Trade Determination | § 40.5(a) |
| ☐ | Approval Security Futures | § 41.24(c) |
| ☐ | Approval Amendments to enumerated agricultural products | § 40.4(a), § 40.5(a) |
| ☐ | "Non-Material Agricultural Rule Change" | § 40.4(b)(5) |
| ☐ | Notification | § 40.6(d) |

Official Name(s) of Product(s) Affected:

Rule Numbers:

February 19, 2025

VIA ELECTRONIC PORTAL

Mr. Christopher J. Kirkpatrick
Office of the Secretariat
Commodity Futures Trading Commission
Three Lafayette Centre
1155 21st Street, N.W.
Washington, DC 20581

**Re: CFTC Regulation 40.6(a) Certification. Amendments to the Credit Risk Management Assessment Methodology and Counterparty Exposure Methodology.
CME Submission No. 25-107**

Dear Mr. Kirkpatrick:

Pursuant to Commodity Futures Trading Commission (“CFTC” or “Commission”) Regulation 40.6(a), Chicago Mercantile Exchange Inc. (“CME” or the “Clearing House”), a derivatives clearing organization (“DCO”), certifies to the Commission amendments to the Credit Risk Management Assessment Methodology (“CAM”) and the Counterparty Exposure Methodology (“CEM”) (collectively, the “Methodologies”) (collectively, the “Amendments”) effective on March 6, 2025.

The Methodologies are maintained by the Clearing House. As described below, the Methodologies are each reviewed and approved on at least an annual basis. The Amendments were approved as part of the annual review process.

CAM

The CAM was approved by CME’s Clearing House Oversight Committee (“CHOC”) (i.e., committee established by the Board) on December 5, 2024. The Amendments to the CAM primarily relate to the following areas:

- **Counterparty rating assessment process:** The Amendments to the CAM provide further clarity on the process for performing counterparty credit ratings. The term “Credit Risk Assessment” was renamed to “Credit Rating Assessment” to title the process more appropriately. The section in the CAM describing the process for delaying updates to a counterparty’s credit rating was removed since the process is more broadly addressed elsewhere in the CAM. The section in the CAM describing the due diligence reviews conducted by the Clearing House for certain counterparties was removed since it is covered in the CME Clearing Credit Policy, which is separately filed with the Commission.
- **Scorecards:** The Clearing House maintains scorecards that are used to rate different types of counterparties based on business profile. The Amendments reflect updates to these scorecards, primarily to the non-financial corporate scorecard, which were updated to use a more recent and expanded data set. This resulted in adjustments to, and replacement of, certain measures in the quantitative categories relating to credit, profitability, and liquidity, as well as the weights assigned to these quantitative categories. The backtesting results for the non-financial corporate scorecard were also updated. The Amendments also include certain updates to the scorecard’s qualitative considerations, primarily to make certain considerations less prescriptive, allowing CME to consider factors in a more comprehensive manner. Further updates were made to ensure the qualitative considerations remain reflective of prevailing market conditions.

- **Definition of credit ratings:** The section in the CAM describing the concept of credit rating indicators was removed since CME's credit ratings are inherently designed to be forward-looking and take into account industry outlooks. Additionally, the Amendments remove references to the probability or expectation of a default in context of the credit rating scale, since probability of default is not calculated within the CAM.

The Clearing House also took the opportunity to correct for grammatical errors, amend the language in the CAM to provide clarity without changing the meaning and remove duplicative references within the CAM where appropriate.

CEM

The CEM was approved by CHOC on December 5, 2024. The only Amendments to the CEM were re-naming the section titled, "Scope" to "Applicability."

DCO Core Principle Review

CME reviewed the DCO core principles ("Core Principles") as set forth in the Commodity Exchange Act ("CEA" or "Act") and identified that the Amendments may impact the following core principles:

- **DCO Core Principle D – Risk Management:** The Amendments further describe the Clearing House's risk management practices with respect to assessing and managing counterparty risk and enhance the ability of the Clearing House to effectively manage the risks associated with discharging the responsibilities of the DCO.

CME has requested confidential treatment with respect to the Methodologies, which have been submitted concurrently with this certification. Exhibits A and B provide the Methodologies in blackline format under separate cover.

Pursuant to Section 5(c) of the Act and CFTC Regulation 40.6(a), CME certifies that the Amendments comply with the Act and regulations thereunder. There were no substantive opposing views to the proposal.

CME certifies that this submission has been concurrently posted on the CME Group website at <http://www.cmegroup.com/market-regulation/rule-fillings.html>.

Should you have any questions concerning the above, please contact the undersigned at (312) 930-8167 or sean.downey@cmegroup.com.

Sincerely,

/s/ Sean Downey
Managing Director – Clearing Chief Compliance
Officer, Enterprise Risk Officer & Policy
CME Clearing

Attachments:	Exhibit A:	Amendments to Credit Risk Management Assessment Methodology (blackline format) (confidential treatment requested)
	Exhibit B:	Amendments to Exposure Methodology (blackline format) (confidential treatment requested)

Exhibits A and B
CONFIDENTIAL TREATMENT REQUESTED

(ATTACHED UNDER SEPARATE COVER)